

Align Technology

NASDAQ : \$12.66B mkt cap · 71M sh · \$1.1B cash, zero debt · \$1.10B cash, no debt (net cash, p\_fail ~0); ~71.3M shares; ~\$200M buyback active;  
ALGN · Revenue \$4.035B FY25 (+1%, flat-lining); GAAP op margin compressed to 13.5% (non-GAAP ~21%); FCF ~\$0.5B; ~70% gross margin;  
Mature- ~\$175, YTD ~+7-8%, 52-wk \$122-\$208 - deeply de-rated from the 2021 ~\$700 peak (fwd P/E ~15)  
Company DCF

\$177.50

THE CENTRAL QUESTION

Does clear-aligner category growth and Invisalign share retention outrun ASP/share erosion from Angelalign and at-home commoditization?

Align trades at ~\$12.5B (~\$174.84, deeply de-rated from the 2021 ~\$700 peak to ~\$175) - ~25x FCF on \$4.04B revenue growing low-single-digit, ~70% gross margin, net cash and a buyback. It is the category-defining clear-aligner brand (Invisalign + iTero) in a market still only ~15-20% penetrated, but growth has flat-lined (+1%) as discretionary demand softens and Angelalign/at-home rivals pressure ASPs (-1 to -2% guided). The DCF asks whether category penetration plus the teen/Palatal-Expander TAM outrun price/share erosion. The finding lands ~fair (-1.5%): the modal case is +1%, de-rated but not cheap.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$172.27 expected fair value today  
-2.9% vs spot \$177.50

FORWARD COMPOUNDED VALUE

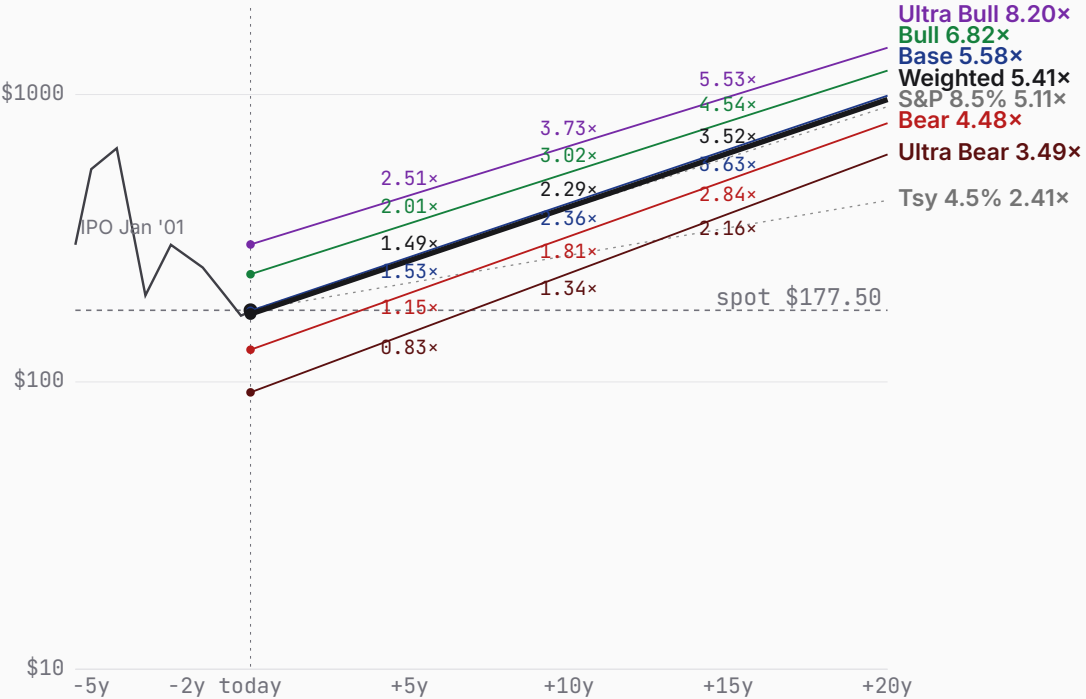
| +5y        | +10y       | +15y       | +20y       |
|------------|------------|------------|------------|
| \$264.49   | \$406.29   | \$624.48   | \$960.41   |
| 1.49x spot | 2.29x spot | 3.52x spot | 5.41x spot |

WEIGHTING RATIONALE

Ultra Bear 14% Demand stalls; ASP/share erode; ~\$92 (-47%).  
Bear 27% Low-single-digit grind; ASP pressure caps it; ~\$129 (-26%).  
Base 34% Category penetration resumes; margin firms; ~\$177 (+1%).  
Bull 17% Teen/IPE TAM expands; share holds; ~\$237 (+35%).  
Ultra Bull 8% Category compounds; Invisalign re-rates; ~\$301 (+72%).

Bull (17%) + Ultra Bull (8%) together contribute \$64.33 — 37% of the \$172.27 expected value despite 25% combined probability. Today's spot (\$177.50) sits 3% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



| ULTRA BEAR                                   | \$91.97        | BEAR                                          | \$129.43       | BASE                                        | \$176.81      | BULL                                        | \$236.91       | ULTRA BULL                                   | \$300.75       |
|----------------------------------------------|----------------|-----------------------------------------------|----------------|---------------------------------------------|---------------|---------------------------------------------|----------------|----------------------------------------------|----------------|
|                                              | -48.2% vs spot |                                               | -27.1% vs spot |                                             | -0.4% vs spot |                                             | +33.5% vs spot |                                              | +69.4% vs spot |
| CAGR +1.4% WACC 10.0%<br>CAGR +1.4% Prob 14% |                | CAGR +3.8% WACC 9.5%<br>CAGR +3.8% Prob 27%   |                | CAGR +6.6% WACC 9.0%<br>CAGR +6.6% Prob 34% |               | CAGR +8.4% WACC 8.5%<br>CAGR +8.4% Prob 17% |                | CAGR +10.0% WACC 8.2%<br>CAGR +10.0% Prob 8% |                |
| Demand stalls; ASP/share erode.              |                | Low-single-digit grind; ASP pressure caps it. |                | Penetration resumes; margin firms.          |               | Teen/IPE TAM expands; share holds.          |                | Category compounds; Invisalign re-rates.     |                |



# Align Technology scenario narratives

PROBABILITY WEIGHTS

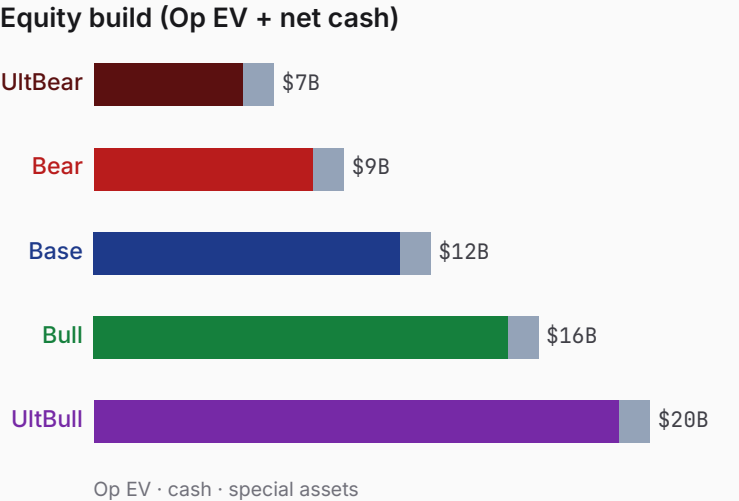
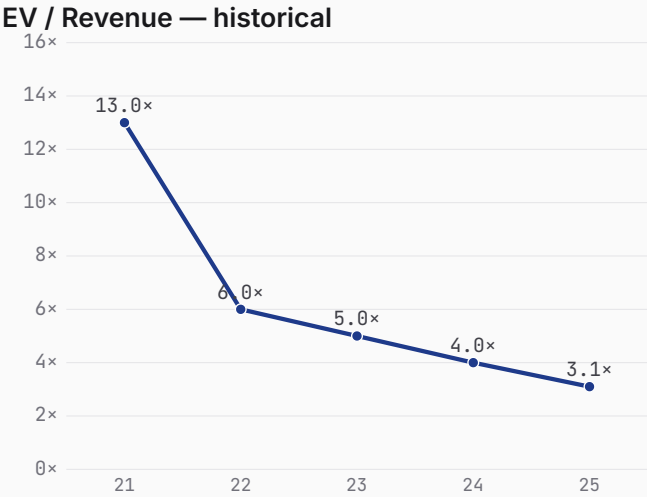
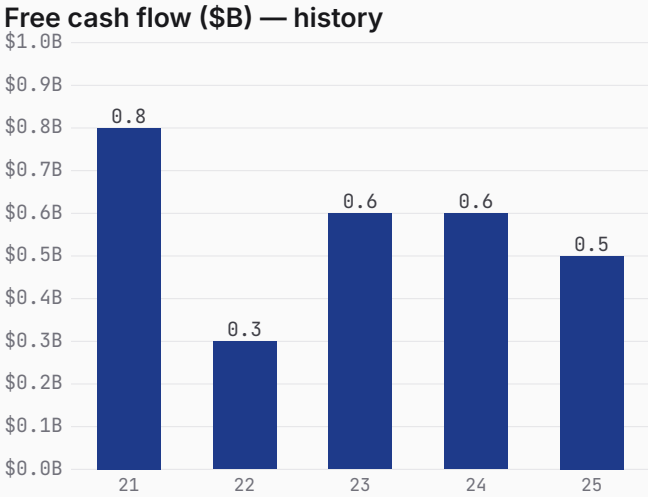
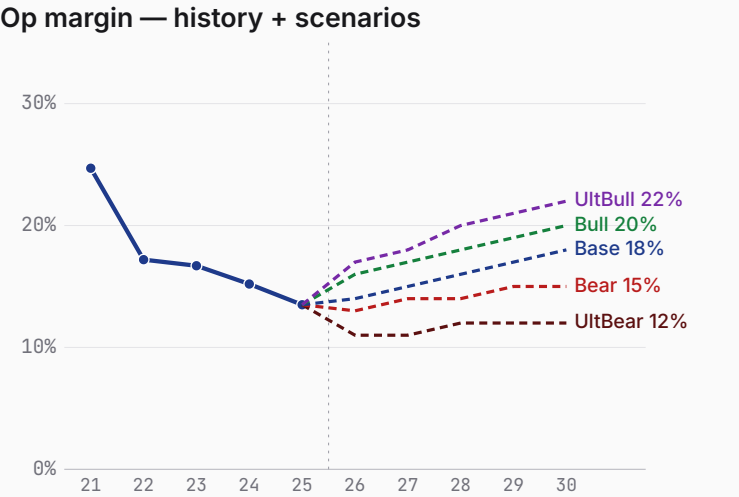
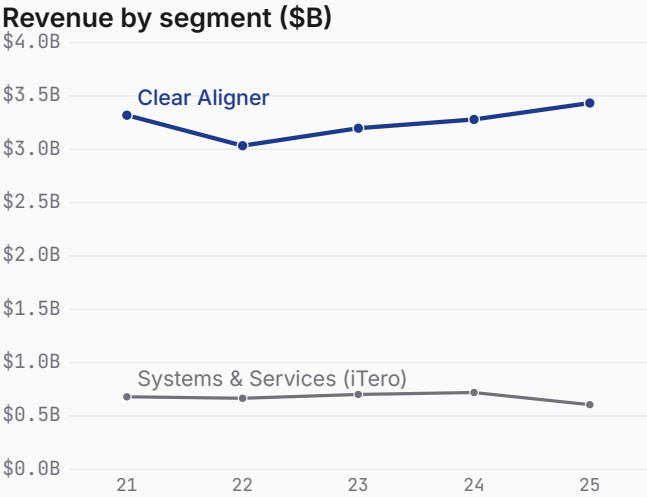
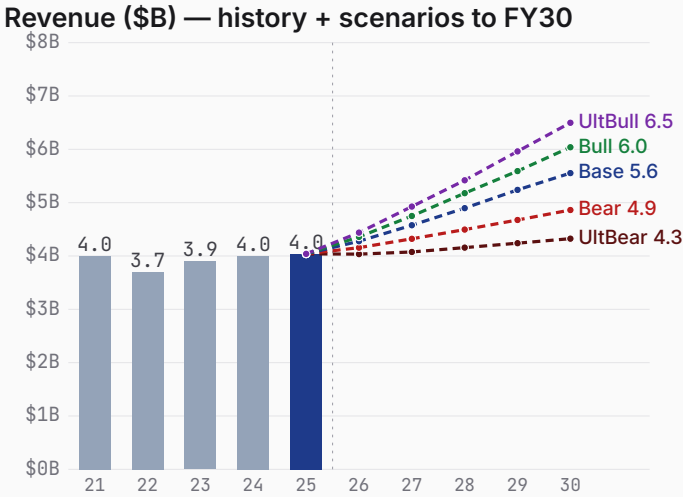
Ultra Bear 14% Bear 27% Base 34% Bull 17% Ultra Bull 8% · Weighted expected \$172.27 (-2.9% vs spot)

| ULTRA BEAR                                                                                                                                                                                                                                                                                                                                                           | \$91.97        | BEAR                                                                                                                                                                                                                                                                                                                 | \$129.43       | BASE                                                                                                                                                                                                                                                                                                                                                                        | \$176.81      | BULL                                                                                                                                                                                                                                                                                                                           | \$236.91       | ULTRA BULL                                                                                                                                                                                                                                                                                            | \$300.75       |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|
|                                                                                                                                                                                                                                                                                                                                                                      | -48.2% vs spot |                                                                                                                                                                                                                                                                                                                      | -27.1% vs spot |                                                                                                                                                                                                                                                                                                                                                                             | -0.4% vs spot |                                                                                                                                                                                                                                                                                                                                | +33.5% vs spot |                                                                                                                                                                                                                                                                                                       | +69.4% vs spot |
| Probability 14%                                                                                                                                                                                                                                                                                                                                                      |                | Probability 27%                                                                                                                                                                                                                                                                                                      |                | Probability 34%                                                                                                                                                                                                                                                                                                                                                             |               | Probability 17%                                                                                                                                                                                                                                                                                                                |                | Probability 8%                                                                                                                                                                                                                                                                                        |                |
| Demand stalls; ASP/share erode.                                                                                                                                                                                                                                                                                                                                      |                | Low-single-digit grind; ASP pressure caps it.                                                                                                                                                                                                                                                                        |                | Penetration resumes; margin firms.                                                                                                                                                                                                                                                                                                                                          |               | Teen/IPE TAM expands; share holds.                                                                                                                                                                                                                                                                                             |                | Category compounds; Invisalign re-rates.                                                                                                                                                                                                                                                              |                |
| WHY 14%                                                                                                                                                                                                                                                                                                                                                              |                | WHY 27%                                                                                                                                                                                                                                                                                                              |                | WHY 34%                                                                                                                                                                                                                                                                                                                                                                     |               | WHY 17%                                                                                                                                                                                                                                                                                                                        |                | WHY 8%                                                                                                                                                                                                                                                                                                |                |
| The genuine bear: revenue is already flat (+1% FY25), op margin has slid four straight years (24.7%→13.5%), ASPs are guided down, and Angelalign is suing on patents while taking China share. 14% weight on price/share erosion beating category growth.                                                                                                            |                | Share retention continues but the discretionary backdrop + ASP pressure + Chinese competition cap the multiple. 27% as the plausible 'holds the lead but doesn't convert to growth' path, consistent with the flat top line and guided ASP declines.                                                                 |                | Requires penetration-led case growth + the teen/IPE TAM to offset ASP erosion - consistent with the record Q1 case volume (686,000/+6.7%) and reaffirmed guidance, but not a step-change re-acceleration. 34% as the central, near-fair outcome.                                                                                                                            |               | The IPE clearance + record teen case volume + a still-underpenetrated category make a genuine re-acceleration credible. ~17% weight on the TAM expansion landing while share holds.                                                                                                                                            |                | Everything works - penetration AND the teen/IPE TAM AND share defense AND a margin/multiple re-rate, the high-quality-compounder outcome. ~8%, the long-duration tail.                                                                                                                                |                |
| WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                                         |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                         |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                                                |               | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                   |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                          |                |
| The discretionary big-ticket consumer stays soft and Angelalign/at-home commoditization wins on price: case volume flat-lines, ASPs keep falling beyond the guided -1 to -2%, and a richer low-cost mix de-levers a ~70% gross margin into low-double-digit operating margins. Revenue is essentially flat; the category-penetration story stalls while share leaks. |                | Category penetration keeps volume rising but ASP/mix erosion and a competitive market hold growth to ~4% and margins below the historical peak. Invisalign defends its lead without re-accelerating; teen/IPE helps at the edges but doesn't change the trajectory. Revenue compounds ~4% at a low-teens FCF margin. |                | The modal path: clear-aligner penetration of the ~15-20%-penetrated ortho market resumes mid-single-digit case growth, the teen/Palatal-Expander TAM adds incremental volume, and iTero Lumina anchors the installed base - blending to ~7% revenue growth at a firming ~16-18% operating margin as ASP pressure is offset by volume. Revenue compounds ~7% toward ~\$5.5B. |               | Clear-aligner category penetration accelerates and the teen/Palatal-Expander launch opens the larger teen ortho TAM (the majority of global case-starts), while Invisalign holds share through patents + the iTero installed base. Volume growth and operating leverage push margins back toward 20%. Revenue compounds ~8-9%. |                | The full second act: clear aligners take a decisive share of the global ortho market, teen/IPE becomes a durable growth leg, iTero scan-data + AI deepen the cornered resource, and Align re-rates to a high-quality medtech compounder at ~70% gross margin. Revenue compounds ~10% to peak margins. |                |
| A category leader whose volume and price are both pressured earns a low-growth ~13x terminal multiple → DCF ~\$92 (-47%). Net cash sets a floor but can't offset a stalled top line and a margin that keeps grinding lower.                                                                                                                                          |                | DCF ~\$129 (-26%) - a defended-but-decelerating franchise at ~15x FCF is worth below today's price; the market's discount is warranted if growth stays mid-single-digit and ASPs keep slipping.                                                                                                                      |                | DCF ~\$177 (+1%) - essentially at spot. A category-defining brand with a long penetration runway is genuinely valuable, but at ~16x FCF and mid-single-digit growth the modal case only recovers to about today's price; the de-rate corrected the 2021 excess to fair, not to a bargain.                                                                                   |               | DCF ~\$237 (+35%) - if the penetration + teen-TAM engine re-accelerates and ASPs stabilize, the de-rated entry re-rates with the fundamentals; this is the core of the bull.                                                                                                                                                   |                | DCF ~\$301 (+72%) - the brand reclaims a premium medtech multiple as category growth + share defense + margin recovery all land; ~8% probability, the asymmetric upside the depressed entry is buying.                                                                                                |                |

Align Technology business snapshot

Bear \$129.43 Base \$176.81 Bull \$236.91

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1 FY2026 (Apr 2026) results



Sources: SEC XBRL company facts (CIK 1097149), Align Q1 FY2026 release (revenue \$1,040M/+6.2%, Clear Aligner \$856M, iTero/Systems \$184M, record 686,000 Invisalign cases/+6.7%, gross margin 70.8%, FY26 ASPs guided -1 to -2%). Revenue is a growth path off FY25; FCF = revenue x FCF margin; Gordon terminal. Multiples vs Dentsply, Straumann, Angelalign.

Align Technology 7 Powers · the moat, scored

Bear \$129.43 Base \$176.81 Bull \$236.91

**Arena.** Clear-aligner orthodontics / dental devices - Align Technology (Invisalign, the category-defining brand, + iTero scanners) vs Angelalign, SmileDirect-style at-home/DIY, Dentsply Sirona, Straumann/ClearCorrect, and traditional wires/brackets; auditing a brand + cornered-resource Power against commoditization and a discretionary-demand market.

**POWER AUDIT**  
dominant-power durability: medium

POWER AUDIT · 7 POWERS

|                                            |                                                                                                                                                                               |
|--------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Scale Economies</b><br>■■■              | Largest clear-aligner manufacturer; manufacturing/R&D/sales leverage at \$4B revenue and ~70% gross margin - real, but Angelalign is scaling fast in China.                   |
| <b>Network Economies</b><br>■■■            | Invisalign-trained doctor base + iTero/exocad workflow create two-sided pull (more doctors → more patients), but not a hard network effect.                                   |
| <b>Counter-Positioning</b><br>■■■          | Was the disruptor of wires/brackets; now the incumbent being counter-positioned by lower-cost Angelalign and at-home/DIY models.                                              |
| <b>Switching Costs</b><br>■■■              | Doctors invested in iTero hardware + Invisalign training face friction switching systems; patient-side switching is low (a single discretionary purchase).                    |
| <b>Branding</b> · thesis leans here<br>■■■ | The dominant Power: Invisalign is the category-defining consumer brand with pricing power and direct-to-consumer demand pull - but eroding at the ASP line under competition. |
| <b>Cornered Resource</b><br>■■■            | iTero installed base (>125,000), accumulated scan-data, and a deep patent estate (the basis of the Angelalign suits/ITC action) - durable, the hardest piece to replicate.    |
| <b>Process Power</b><br>■■■                | Mass-customization manufacturing + the digital treatment-planning stack; a real learning curve, modest as a standalone Power.                                                 |

COMPETITIVE READ

Align's brand Power is genuine - Invisalign is the category-defining clear-aligner name with pricing power and consumer demand pull, reinforced by the iTero installed base and patent estate as a cornered resource - but the franchise is decelerating: revenue is flat (+1%), op margin has slid four straight years to 13.5%, and ASPs are guided down under Angelalign + at-home price competition. The Audit: branding is durable (medium) but eroding at the price line; the cornered resource (iTero/scan-data/patents) is the real defense, and the live threats are commoditization + a discretionary-demand market. The ~75% de-rate from the 2021 peak corrected the prior excess to roughly fair, not to a bargain; the DCF tests whether category penetration + the teen/IPE TAM outrun ASP/share erosion, and the modal case lands +1% - de-rated, but priced about right.

PEER SET

|                                                                                                                                                                 |                                  |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------|
| <b>Angelalign</b><br>Fast-growing Chinese clear-aligner challenger; competes on price, taking China share - the live patent/ITC threat.                         | 30% gr · 25% mgn · HK-listed     |
| <b>Dentsply Sirona</b><br>Diversified dental incumbent (incl. SureSmile aligners + imaging); the legacy-dental comp.                                            | 0% gr · 10% mgn · ~12x EV/EBITDA |
| <b>Straumann / ClearCorrect</b><br>Premium dental/implant group with a growing aligner line; the high-end aligner challenger.                                   | 10% gr · 25% mgn · ~30x P/E      |
| <b>At-home / DIY (SmileDirect legacy)</b><br>Direct-to-consumer aligners at the low end; SmileDirect went bankrupt, but the price-competitive segment persists. | · private                        |

THREAT VECTORS · FALSIFIERS

|                                                                                                                                                                                                                         |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Branding</b> · Angelalign + at-home/DIY (price competition)<br><b>falsifier:</b> ASPs fall faster than the guided -1 to -2% as the brand premium erodes against lower-cost aligners.                                 |
| <b>Cornered Resource</b> · Angelalign (patents / ITC)<br><b>falsifier:</b> The patent suits + ITC import-block action fail, letting competitors replicate the technology and scan-data edge.                            |
| <b>Scale Economies</b> · Discretionary-demand softness + China bulk-procurement<br><b>falsifier:</b> Case volume flat-lines or declines and a low-cost mix de-levers the ~70% gross margin below ~13% operating margin. |

Align Technology show your work

Bear \$129.43 Base \$176.81 Bull \$236.91 · Weighted \$172.27 (-2.9%)

| ULTRA BEAR                                |          |          |          |        | \$91.97  |          |          |          |        | BEAR                                      |          |          |          |        | \$129.43 |          |          |            |        | BASE                                      |          |          |            |        | \$176.81 |          |            |            |        | BULL                                      |          |            |            |        | \$236.91 |            |            |            |        | ULTRA BULL                                |  |  |  |  | \$300.75 |  |  |  |  |
|-------------------------------------------|----------|----------|----------|--------|----------|----------|----------|----------|--------|-------------------------------------------|----------|----------|----------|--------|----------|----------|----------|------------|--------|-------------------------------------------|----------|----------|------------|--------|----------|----------|------------|------------|--------|-------------------------------------------|----------|------------|------------|--------|----------|------------|------------|------------|--------|-------------------------------------------|--|--|--|--|----------|--|--|--|--|
| ASSUMPTIONS                               |          |          |          |        |          |          |          |          |        | ASSUMPTIONS                               |          |          |          |        |          |          |          |            |        | ASSUMPTIONS                               |          |          |            |        |          |          |            |            |        | ASSUMPTIONS                               |          |            |            |        |          |            |            |            |        | ASSUMPTIONS                               |  |  |  |  |          |  |  |  |  |
| 5y revenue CAGR (%)                       |          |          |          |        | +1.4     |          |          |          |        | 5y revenue CAGR (%)                       |          |          |          |        | +3.8     |          |          |            |        | 5y revenue CAGR (%)                       |          |          |            |        | +6.6     |          |            |            |        | 5y revenue CAGR (%)                       |          |            |            |        | +8.4     |            |            |            |        | 5y revenue CAGR (%)                       |  |  |  |  | +10.0    |  |  |  |  |
| Year-5 op margin (%)                      |          |          |          |        | 12.0     |          |          |          |        | Year-5 op margin (%)                      |          |          |          |        | 15.0     |          |          |            |        | Year-5 op margin (%)                      |          |          |            |        | 18.0     |          |            |            |        | Year-5 op margin (%)                      |          |            |            |        | 20.0     |            |            |            |        | Year-5 op margin (%)                      |  |  |  |  | 22.0     |  |  |  |  |
| WACC (%)                                  |          |          |          |        | 10.0     |          |          |          |        | WACC (%)                                  |          |          |          |        | 9.5      |          |          |            |        | WACC (%)                                  |          |          |            |        | 9.0      |          |            |            |        | WACC (%)                                  |          |            |            |        | 8.5      |            |            |            |        | WACC (%)                                  |  |  |  |  | 8.2      |  |  |  |  |
| Terminal growth (%)                       |          |          |          |        | 2.0      |          |          |          |        | Terminal growth (%)                       |          |          |          |        | 2.5      |          |          |            |        | Terminal growth (%)                       |          |          |            |        | 2.5      |          |            |            |        | Terminal growth (%)                       |          |            |            |        | 3.0      |            |            |            |        | Terminal growth (%)                       |  |  |  |  | 3.0      |  |  |  |  |
| 5y revenue CAGR (%)                       |          |          |          |        | +1.4     |          |          |          |        | 5y revenue CAGR (%)                       |          |          |          |        | +3.8     |          |          |            |        | 5y revenue CAGR (%)                       |          |          |            |        | +6.6     |          |            |            |        | 5y revenue CAGR (%)                       |          |            |            |        | +8.4     |            |            |            |        | 5y revenue CAGR (%)                       |  |  |  |  | +10.0    |  |  |  |  |
| Starting revenue (\$B)                    |          |          |          |        | 4.04     |          |          |          |        | Starting revenue (\$B)                    |          |          |          |        | 4.04     |          |          |            |        | Starting revenue (\$B)                    |          |          |            |        | 4.04     |          |            |            |        | Starting revenue (\$B)                    |          |            |            |        | 4.04     |            |            |            |        | Starting revenue (\$B)                    |  |  |  |  | 4.04     |  |  |  |  |
| Scenario probability (%)                  |          |          |          |        | 14       |          |          |          |        | Scenario probability (%)                  |          |          |          |        | 27       |          |          |            |        | Scenario probability (%)                  |          |          |            |        | 34       |          |            |            |        | Scenario probability (%)                  |          |            |            |        | 17       |            |            |            |        | Scenario probability (%)                  |  |  |  |  | 8        |  |  |  |  |
| 5-YEAR DCF · \$B                          |          |          |          |        |          |          |          |          |        | 5-YEAR DCF · \$B                          |          |          |          |        |          |          |          |            |        | 5-YEAR DCF · \$B                          |          |          |            |        |          |          |            |            |        | 5-YEAR DCF · \$B                          |          |            |            |        |          |            |            |            |        | 5-YEAR DCF · \$B                          |  |  |  |  |          |  |  |  |  |
| FY                                        | Rev      | Margin   | FCF      | PV FCF | FY       | Rev      | Margin   | FCF      | PV FCF | FY                                        | Rev      | Margin   | FCF      | PV FCF | FY       | Rev      | Margin   | FCF        | PV FCF | FY                                        | Rev      | Margin   | FCF        | PV FCF | FY       | Rev      | Margin     | FCF        | PV FCF | FY                                        | Rev      | Margin     | FCF        | PV FCF | FY       | Rev        | Margin     | FCF        | PV FCF |                                           |  |  |  |  |          |  |  |  |  |
| FY26                                      | 4.04     | +11%     | +0.40    | +0.37  | FY26     | 4.16     | +13%     | +0.46    | +0.42  | FY26                                      | 4.28     | +14%     | +0.51    | +0.47  | FY26     | 4.36     | +16%     | +0.57      | +0.52  | FY26                                      | 4.44     | +17%     | +0.62      | +0.57  | FY26     | 4.44     | +17%       | +0.62      | +0.57  | FY26                                      | 4.44     | +17%       | +0.62      | +0.57  | FY26     | 4.44       | +17%       | +0.62      | +0.57  |                                           |  |  |  |  |          |  |  |  |  |
| FY27                                      | 4.08     | +11%     | +0.41    | +0.34  | FY27     | 4.32     | +14%     | +0.52    | +0.43  | FY27                                      | 4.58     | +15%     | +0.59    | +0.50  | FY27     | 4.75     | +17%     | +0.67      | +0.56  | FY27                                      | 4.93     | +18%     | +0.74      | +0.63  | FY27     | 4.93     | +18%       | +0.74      | +0.63  | FY27                                      | 4.93     | +18%       | +0.74      | +0.63  | FY27     | 4.93       | +18%       | +0.74      | +0.63  |                                           |  |  |  |  |          |  |  |  |  |
| FY28                                      | 4.16     | +12%     | +0.46    | +0.34  | FY28     | 4.50     | +14%     | +0.54    | +0.41  | FY28                                      | 4.90     | +16%     | +0.69    | +0.53  | FY28     | 5.18     | +18%     | +0.78      | +0.61  | FY28                                      | 5.42     | +20%     | +0.87      | +0.68  | FY28     | 5.42     | +20%       | +0.87      | +0.68  | FY28                                      | 5.42     | +20%       | +0.87      | +0.68  | FY28     | 5.42       | +20%       | +0.87      | +0.68  |                                           |  |  |  |  |          |  |  |  |  |
| FY29                                      | 4.24     | +12%     | +0.47    | +0.32  | FY29     | 4.67     | +15%     | +0.61    | +0.42  | FY29                                      | 5.24     | +17%     | +0.73    | +0.52  | FY29     | 5.59     | +19%     | +0.90      | +0.65  | FY29                                      | 5.96     | +21%     | +1.01      | +0.74  | FY29     | 5.96     | +21%       | +1.01      | +0.74  | FY29                                      | 5.96     | +21%       | +1.01      | +0.74  | FY29     | 5.96       | +21%       | +1.01      | +0.74  |                                           |  |  |  |  |          |  |  |  |  |
| FY30                                      | 4.32     | +12%     | +0.48    | +0.30  | FY30     | 4.86     | +15%     | +0.63    | +0.40  | FY30                                      | 5.55     | +18%     | +0.83    | +0.54  | FY30     | 6.04     | +20%     | +0.97      | +0.64  | FY30                                      | 6.50     | +22%     | +1.17      | +0.79  | FY30     | 6.50     | +22%       | +1.17      | +0.79  | FY30                                      | 6.50     | +22%       | +1.17      | +0.79  | FY30     | 6.50       | +22%       | +1.17      | +0.79  |                                           |  |  |  |  |          |  |  |  |  |
| Σ PV explicit FCF                         |          |          |          |        | +1.66    |          |          |          |        | Σ PV explicit FCF                         |          |          |          |        | +2.08    |          |          |            |        | Σ PV explicit FCF                         |          |          |            |        | +2.56    |          |            |            |        | Σ PV explicit FCF                         |          |            |            |        | +2.98    |            |            |            |        | Σ PV explicit FCF                         |  |  |  |  | +3.42    |  |  |  |  |
| + PV terminal (g 2.0%)                    |          |          |          |        | 3.77     |          |          |          |        | + PV terminal (g 2.5%)                    |          |          |          |        | 5.88     |          |          |            |        | + PV terminal (g 2.5%)                    |          |          |            |        | 8.54     |          |            |            |        | + PV terminal (g 3.0%)                    |          |            |            |        | 12.03    |            |            |            |        | + PV terminal (g 3.0%)                    |  |  |  |  | 15.63    |  |  |  |  |
| EQUITY BUILD · \$B & PER SHARE            |          |          |          |        |          |          |          |          |        | EQUITY BUILD · \$B & PER SHARE            |          |          |          |        |          |          |          |            |        | EQUITY BUILD · \$B & PER SHARE            |          |          |            |        |          |          |            |            |        | EQUITY BUILD · \$B & PER SHARE            |          |            |            |        |          |            |            |            |        | EQUITY BUILD · \$B & PER SHARE            |  |  |  |  |          |  |  |  |  |
| Operating EV                              |          |          |          |        | \$5.43B  |          |          |          |        | Operating EV                              |          |          |          |        | \$7.96B  |          |          |            |        | Operating EV                              |          |          |            |        | \$11.10B |          |            |            |        | Operating EV                              |          |            |            |        | \$15.01B |            |            |            |        | Operating EV                              |  |  |  |  | \$19.05B |  |  |  |  |
| + Cash & investments                      |          |          |          |        | \$1.10B  |          |          |          |        | + Cash & investments                      |          |          |          |        | \$1.10B  |          |          |            |        | + Cash & investments                      |          |          |            |        | \$1.10B  |          |            |            |        | + Cash & investments                      |          |            |            |        | \$1.10B  |            |            |            |        | + Cash & investments                      |  |  |  |  | \$1.10B  |  |  |  |  |
| = Equity value                            |          |          |          |        | \$6.53B  |          |          |          |        | = Equity value                            |          |          |          |        | \$9.06B  |          |          |            |        | = Equity value                            |          |          |            |        | \$12.20B |          |            |            |        | = Equity value                            |          |            |            |        | \$16.11B |            |            |            |        | = Equity value                            |  |  |  |  | \$20.15B |  |  |  |  |
| FY30 shares (M)                           |          |          |          |        | 71       |          |          |          |        | FY30 shares (M)                           |          |          |          |        | 70       |          |          |            |        | FY30 shares (M)                           |          |          |            |        | 69       |          |            |            |        | FY30 shares (M)                           |          |            |            |        | 68       |            |            |            |        | FY30 shares (M)                           |  |  |  |  | 67       |  |  |  |  |
| = Expected per share                      |          |          |          |        | \$91.97  |          |          |          |        | = Expected per share                      |          |          |          |        | \$129.43 |          |          |            |        | = Expected per share                      |          |          |            |        | \$176.81 |          |            |            |        | = Expected per share                      |          |            |            |        | \$236.91 |            |            |            |        | = Expected per share                      |  |  |  |  | \$300.75 |  |  |  |  |
| FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |          |        |          |          |          |          |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |          |        |          |          |          |            |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |            |        |          |          |            |            |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |            |            |        |          |            |            |            |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |  |  |  |  |          |  |  |  |  |
| +5y                                       | +10y     | +15y     | +20y     |        | +5y      | +10y     | +15y     | +20y     |        | +5y                                       | +10y     | +15y     | +20y     |        | +5y      | +10y     | +15y     | +20y       |        | +5y                                       | +10y     | +15y     | +20y       |        | +5y      | +10y     | +15y       | +20y       |        | +5y                                       | +10y     | +15y       | +20y       |        | +5y      | +10y       | +15y       | +20y       |        |                                           |  |  |  |  |          |  |  |  |  |
| \$148.12                                  | \$238.55 | \$384.18 | \$618.73 |        | \$203.75 | \$320.76 | \$504.95 | \$794.91 |        | \$272.04                                  | \$418.57 | \$644.03 | \$990.92 |        | \$356.23 | \$535.65 | \$805.43 | \$1,211.09 |        | \$446.01                                  | \$661.42 | \$980.88 | \$1,454.62 |        | \$548.01 | \$822.02 | \$1,250.03 | \$1,872.04 |        | \$654.01                                  | \$981.02 | \$1,480.03 | \$2,224.04 |        | \$770.01 | \$1,155.02 | \$1,730.03 | \$2,550.04 |        |                                           |  |  |  |  |          |  |  |  |  |
| 0.83×                                     | 1.34×    | 2.16×    | 3.49×    |        | 1.15×    | 1.81×    | 2.84×    | 4.48×    |        | 1.53×                                     | 2.36×    | 3.63×    | 5.58×    |        | 2.01×    | 3.02×    | 4.54×    | 6.82×      |        | 2.51×                                     | 3.73×    | 5.53×    | 8.20×      |        | 3.35×    | 5.02×    | 7.30×      | 10.95×     |        | 4.13×                                     | 6.19×    | 9.00×      | 13.50×     |        | 5.17×    | 7.75×      | 11.25×     | 16.88×     |        |                                           |  |  |  |  |          |  |  |  |  |

Align Technology

People · Opportunity · Context · Deal

Bear \$129.43 Base \$176.81 Bull \$236.91

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Joseph M. Hogan

11 yrs in seat

1.9%

insider ownership

LOW

key-person risk

**Capital allocation (realized)**  
Joe Hogan (ex-GE/ABB) has been CEO since 2015 — a professional manager; the founders are long gone. The balance sheet is debt-free (~\$1.0B net cash) and FCF-positive (FY2025 revenue \$4.0B, GAAP net income \$410M). Capital return is buyback-only (a \$1B program, ~\$800M remaining), no dividend, with a FY2025 restructuring to lift margins.

**Incentive alignment**  
CEO pay is ~91% at-risk/performance-based. The standout alignment signal is positive: Hogan is a net open-market BUYER — he has bought ~\$8M of stock since 2021 with no sales — uncommon among large-cap CEOs. Say-on-pay drew ~89% support (a notable ~11% dissent on large equity grants). Activist Elliott built a stake (March 2026), no board seats yet.

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no dual-class, no controlling shareholder
- Chair and CEO are SEPARATE, with an independent Chair (transitioning to Kevin Conroy mid-2026)
- ~90% independent board (9-10 of 10-11); declassified annual elections; all committees independent
- notable say-on-pay dissent (~11%) tied to CEO equity-grant size — a compensation watch-item
- an activist (Elliott) is building a stake — external pressure, outcome unresolved

PEOPLE READ

Clean structure plus a rare positive: single-class one-vote, a separate independent Chair, a ~90% independent declassified board, a debt-free balance sheet — and a CEO who buys his own stock in the open market (no sales since 2021). The watch-items are a ~11% say-on-pay dissent on pay size and a fresh Elliott activist stake, neither structural. Key-person risk is low — a professional, no-control CEO with a deep bench.

THE FOUR LEGS

People

observable composite · 1–5

Opportunity

The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market purchase = the deal: entry price vs. the scenario distribution (the ~1.5% finding) + position sizing.

Align Technology supporting analysis · disclaimers · glossary

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PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **The de-rate corrected an excess, it didn't create a bargain.**  
Down ~75% from the 2021 peak looks cheap, but at ~25x FCF and low-single-digit growth the modal DCF is +1% - growth, not the multiple, is the constraint.
- 2 **The category is still only ~15-20% penetrated.**  
Clear aligners are early in displacing wires/brackets; teen/IPE opens the larger teen ortho TAM the flat top line masks.
- 3 **Brand + installed base are the moat.**  
Invisalign is category-defining; iTero (>125,000 scanners) + scan-data + the patent estate are hardest for Angelalign to replicate.
- 4 **ASP/share erosion is the whole question.**  
ASPs guided -1 to -2%, Angelalign taking China share + litigating patents, at-home at the low end - 'category grows' vs 'Align grows' is the fork.
- 5 **Net cash, p\_fail ~0.**  
\$1.10B cash, no debt, ~\$200M buyback - no solvency risk; the downside is growth/multiple, not survival.

FALSIFICATION TRIGGERS

Bull validation

Invisalign case volume re-accelerates above ~+7% · teen/IPE case-starts scale materially · ASPs stabilize (not down) · operating margin recovers back toward ~20%

Bear validation

case volume flat-lines or declines for 2+ quarters · ASPs fall faster than the guided -1 to -2% · Angelalign/at-home take visible share · op margin grinds below ~13%

Reframe needed

if clear aligners commoditize (Angelalign wins on price + the ITC/patent actions fail), the branding + cornered-resource Powers erode - re-rate the terminal toward a low-growth, price-taking dental-device multiple

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

**Clear Aligner** — Align's largest segment (~82-85% of revenue) - Invisalign removable aligners that displace traditional wires/brackets; case volume x ASP is the swing factor.

**iTero / Systems & Services** — Intraoral scanners (iTero Lumina, installed base >125,000) + software/services - the cornered-resource base that feeds Invisalign workflow and scan-data.

**ASP** — Average selling price per case; guided -1 to -2% in FY26 on country/product mix and competition - the price half of the volume-vs-price question.

**IPE (Invisalign Palatal Expander)** — US-FDA-cleared device targeting teen/kids case-starts (the majority of global ortho) - the TAM-expansion lever in the bull.

**FCF margin** — Free cash flow / revenue (~12-13% FY25); the mature-DCF lever - whether category growth converts the ~70% gross margin to free cash flow as ASP pressure bites.